

HOUSE BILL 2345

By Harris

AN ACT to amend Tennessee Code Annotated, Title 9,
Chapter 8; Title 55 and Title 56, relative to
insurance for vehicles used by faith-based
organizations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Community Faith
Transportation and Service Protection Act."

SECTION 2. Tennessee Code Annotated, Title 56, Chapter 7, Part 11, is amended by
adding the following as a new section:

(a) As used in this section:

(1) "Community service use" means the use of a vehicle to provide
transportation or delivery related to:

- (A) Healthcare access;
- (B) Food security;
- (C) Disability assistance;
- (D) Elder care; or
- (E) Social services;

(2) "Faith-based organization" means a church, synagogue, mosque, or
religious nonprofit organization recognized under 26 U.S.C. § 501(c)(3); and

(3) "Partner nonprofit organization" means a 501(c)(3) organization that
is exempt from federal income taxation under § 501(a) of the Internal Revenue
Code (26 U.S.C. § 501(a)), as an organization described in § 501(c)(3) of the
Internal Revenue Code (26 U.S.C. § 501(c)(3)).

(b) A faith-based organization that owns or leases a motor vehicle is deemed, by operation of law, to have state-backed secondary liability coverage when the vehicle is used for community service use, including when operated by a partner nonprofit organization.

(c) The coverage described under subsection (b) applies when:

- (1) The vehicle is used for a community service use;
- (2) The driver holds a valid driver license; and
- (3) The activity is not conducted for private profit.

(d) The coverage mandated under this section must:

(1) Be administered through the risk management fund, established under § 9-8-409; and

(2) Be for not less than:

(A) For bodily injury, one million dollars (\$1,000,000) per occurrence; and

(B) For property damage, two hundred fifty thousand dollars (\$250,000) per occurrence.

(e) A faith-based organization, clergy member, or board member of a faith-based organization is not liable for injury, loss, or damage arising from a vehicle operated for community service use unless the harm was caused by:

- (1) Gross negligence, or
- (2) Willful or reckless misconduct.

(f) A partner nonprofit organization using a church-owned vehicle for community service use is a permitted user for purposes of the coverage described under subsection (b) and does not create additional liability exposure for the faith-based organization.

(g)

(1) A private insurance provider that receives an application for coverage from a faith-based organization shall not, and an insurance policy issued by the private insurance provider to a faith-based organization must not:

(A) Deny coverage solely because the vehicle for which insurance is sought is or will be operated for community service use;

(B) Exclude nonprofit organization or charitable use from coverage; or

(C) Cancel or increase premiums due to participation in a community service transportation program.

(2) A provision in an insurance policy issued by a private insurer to a faith-based organization that violates or conflicts with the requirements of subdivision (g)(1) is void and unenforceable.

SECTION 3. The department of commerce and insurance shall promulgate rules to effectuate this act. The rules must include coverage requirements, including minimum safety standards, driver eligibility, and accident reporting procedures, and a means by which faith-based organizations can apply for coverage. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Title 4, Chapter 5.

SECTION 4. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 5. This act takes effect July 1, 2026, the public welfare requiring it, and applies to policies issued, renewed, or amended on or after that date.